

Hindalco Industries Ltd

Concall-Tracker report · Screener ticker HINDALCO (NSE: HINDALCO, BSE: 500440) · 8 earnings-call transcripts read (FY25 → Q1 FY27) · all figures CONSOLIDATED · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Hindalco is India's largest **aluminium and copper** producer, part of the Aditya Birla group. It digs bauxite, refines it into alumina, smelts aluminium and rolls it into products; it also runs one of the world's biggest copper smelters. Through **Novelis**, its US-based subsidiary, it is also the world's largest recycler and roller of flat aluminium sheet — the metal in drinks cans and car bodies. In plain terms: roughly two-thirds of the business is Novelis abroad, one-third is Indian metal, and profits swing with global aluminium and copper prices.

Figure	Value	Plain-English read
Market capitalisation	₹2,28,294 cr (price ₹1,015)	What the whole company is worth — the largest company in this coverage. The share has ranged ₹702–1,179 over the past year.
Price-to-earnings	11.0x ; dividend yield 0.49%	About 11 times last year's profit — a typical, undemanding rating for a commodity producer whose earnings the market expects to swing.
Q1 FY27 revenue (Jun'26 qtr)	₹84,825 cr, up 32% YoY	Revenue in the June 2026 quarter, against ₹64,232 cr a year earlier — the largest quarter in the company's history.
Q1 FY27 operating profit	₹13,932 cr, margin 16%	The best margin in the three-year series (the range had been 10–14%). Operating profit rose 76% year-on-year.
Q1 FY27 net profit	₹7,013 cr, up 75% YoY	Earnings per share ₹31.21 in a single quarter. For scale, this one quarter earned more than half of the whole of FY26 .
FY26 (full year)	₹2,74,944 cr revenue, ~₹13,391 cr profit	Revenue grew 15%, but profit fell about 16% from FY25's ~₹16,002 cr — the year was damaged by the Novelis Oswego plant fire and hedging losses, both explained below.
The FY26 dip, in two quarters	Dec'25 ₹2,049 cr; Mar'26 ₹2,597 cr	Against ₹4,000–4,700 cr in the two preceding quarters. "Other income" swung to <i>negative</i> ₹2,061 cr and ₹3,146 cr in those quarters — largely hedging mark-to-market, not operating losses.
Return on capital	ROCE 13.2%; ROE 13.0%	For every ₹100 of capital the business earns about ₹13 a year before tax — respectable for a capital-heavy metals producer, and measured over a damaged year.
Capital spending	FY26 ₹31,619 cr; ~₹30,000 cr/yr ahead	Enormous, and the single biggest reason net debt rose. FY27 splits roughly ₹12,000 cr in India with the balance at Novelis; from FY28 Novelis spending drops sharply and India's rises.
Net debt	Up ~₹24,000 cr in 9M FY26	Management gave a full bridge: ~₹17,000 cr from Novelis (the Oswego impact, Bay Minette capex, higher material prices) and ~₹7,000 cr in India (copper working capital).

2. Concall coverage

Eight consecutive quarterly earnings-call transcripts were read, oldest to newest, covering two years to the latest call. Hindalco's calls are unusually well staffed — Satish Pai (Managing Director) and Bharat Goenka (CFO) for the group, plus Steve Fisher (CEO) and Dev Ahuja (CFO) of Novelis, so the overseas two-thirds of the business is answerable directly.

Quarter	Call date	Revenue / operating margin	Read?
Q3 FY25 (Dec 2024)	Feb 2025	₹58,390 cr · 13%	Yes
Q4 & FY25 (Mar 2025)	20 May 2025	₹64,890 cr · 14%	Yes
Q1 FY26 (Jun 2025)	Aug 2025	₹64,232 cr · 12%	Yes
Q2 FY26 (Sep 2025)	Nov 2025	₹66,058 cr · 14%	Yes
Q3 FY26 (Dec 2025)	12 Feb 2026	₹66,521 cr · 12%	Yes
Q4 & FY26 (Mar 2026)	22 May 2026	₹78,133 cr · 13%	Yes
Q1 FY27 (Jun 2026)	07 Aug 2026	₹84,825 cr · 16%	Yes — latest

Span: eight quarters over two years. Transcripts are filed with BSE, NSE and the Luxembourg Stock Exchange and posted on the company website. Screener lists 98 investor-communication entries with transcripts for only 30, but the missing ones are almost entirely pre-2024 and fall outside the window graded here.

2b. Latest concall highlights — Q1 FY27 (call held 07 Aug 2026) ★

- **A record quarter and a sharp recovery:** revenue **₹84,825 cr (+32%)**, operating profit **₹13,932 cr** at a 16% margin — the best in three years — and net profit **₹7,013 cr, up 75%**. One quarter delivered more than half of the entire previous year's profit.
- **Novelis is back from the fire:** the **Oswego** plant, whose outage cost roughly **\$485 million** and drove much of the FY26 damage, has restarted. Novelis EBITDA per tonne is now above **\$600**. Management noted a ~\$70 million item was *not* excluded from adjusted EBITDA — i.e. the reported number is the unflattered one.
- **Indian downstream aluminium is beating its own target:** margins of **\$300 per tonne**, a multi-quarter high against a stated target of around **\$250**, helped by high Japanese metal premiums which management said allowed it to hold downstream pricing.
- **The growth projects have dates, and they are not soon:** captive coal from **Chakla ~1 million tonnes in FY28** (Bandha later — the box cut is done but the strip ratio is high, so first coal only FY28), and the **Aditya refinery and Phase 1 smelter commissioning around December–January of next fiscal, with meaningful contribution only in FY29**. Management said this plainly rather than implying nearer benefits.
- **Balance sheet and honest caveats:** India is in "a high capex year", so group net debt-to-EBITDA is **not** expected to improve materially near term; Novelis leverage should fall below 4× starting Q4. Copper volumes were 138 kt because one shipment was missed, against a normal ~190 kt, and Q2 volumes for both copper and downstream aluminium should be higher after a planned smelter shutdown. A Novelis royalty of up to 0.25% of revenue, **capped at ₹225 cr over 12 months**, was disclosed and quantified when an analyst asked.

2c. Business mix & capacity (quick facts)

Geography: this is a genuinely global business. **Novelis** — North America, Europe, Asia and South America — is the larger part by revenue, rolling and recycling flat aluminium for beverage cans, automotive body sheet and speciality uses. The Indian business covers upstream aluminium (bauxite, alumina, smelting), downstream aluminium (rolled products, extrusions, foil) and copper. Because two-thirds of revenue is earned abroad, the

rupee matters: management disclosed FY27 currency hedging at **14% at ₹90.13** and aluminium hedging at **29% at \$3,013** a tonne.

Recent capacity commissioned: a 160,000-tonne flat-rolled products line at **Lapanga**, a 36,000-tonne **Silvassa** extrusion plant, a copper **IGT** (inner-grooved tube) plant and an aluminium AC-fin line — all commissioned across FY25–FY26. Recycling reached 29% of the aluminium business this quarter, up from 27%.

What is being built: Novelis's **Bay Minette** plant in Alabama is the reason its capital spending has been so high; once commissioned, management expects Novelis capex to "sharply drop" into maintenance mode from FY28. In India the pipeline is the **Aditya alumina refinery and Phase 1 smelter** (commissioning December–January of next fiscal, meaningful from FY29), a new **copper smelter**, and **Aditya Phase 2**. Captive coal from Chakla and Bandha is the cost lever, arriving FY28. **Utilisation percentages are not disclosed** and none is invented here; on copper, management gave a clean operating figure — 138 kt sold this quarter against a normal ~190 kt because one ship sale slipped.

3. Earning Trigger thesis ★

Hindalco's earnings will always be driven first by aluminium and copper prices, which no management controls. What makes this more than a pure commodity bet is a **stacked sequence of self-help levers with specific dates attached**. In the near term the driver is **normalisation**: the Novelis Oswego fire cost roughly \$485 million and wrecked two quarters of FY26, that plant has restarted, and Q1 FY27 immediately produced a record quarter with a 16% margin and ₹7,013 cr of profit. Next comes **capital intensity falling at Novelis** — Bay Minette is the reason capex reached ₹31,619 cr in FY26, and management expects Novelis spending to drop sharply into maintenance mode from FY28, which is when free cash flow and deleveraging arrive. Then the **Indian cost and volume levers**: captive coal from Chakla (~1 million tonnes in FY28) cutting the single largest input cost, and the Aditya refinery and Phase 1 smelter contributing meaningfully from FY29. Alongside, downstream aluminium is already earning \$300 a tonne against a \$250 target. The honest counterweight is that all of this is expensive and slow: consolidated capital spending stays near ₹30,000 cr a year, net debt rose ₹24,000 cr in nine months of FY26, and management has said group leverage will not improve materially in the near term.

Trigger	What management said	Evidence so far	Horizon	Strength
Novelis recovery post-Oswego	Oswego impact ~\$485m; plant restarted	Delivered. Novelis EBITDA/tonne now above \$600; Q1 FY27 group margin 16%, the best in three years	Now	Strong
Novelis capex rolling off (Bay Minette)	Novelis capex to "sharply drop" once Bay Minette commissions, moving to maintenance capex from FY28	Not yet — FY26 capex ₹31,619 cr was driven by exactly this. The pay-off is a FY28 event	FY28	Moderate
Captive coal (Chakla, Bandha)	Chakla ~1 mt in FY28; Bandha first coal FY28 (high strip ratio); "meaningful coal only in FY28"	Box cut done at Bandha. Timelines have moved out, but were disclosed with reasons	FY28	Moderate
Aditya refinery + Phase 1 smelter	Commissioning Dec–Jan of next fiscal; "FY29 as the full — meaningful numbers coming in"	Under construction. Management explicitly declined to claim nearer benefit	FY29	Moderate
	Target ~\$250/tonne		Now	Strong

Downstream aluminium margins		\$300/tonne achieved — a multi-quarter high, helped by high Japanese metal premiums		
Recent capacity commissioned	Lapanga 160 KTPA FRP, Silvassa 36 KT extrusion, copper IGT, aluminium AC fin	All commissioned across FY25–FY26 as described	Done	Strong
Copper (sulphuric acid, volumes)	Volumes to recover; ~190 kt normal run-rate	Q1 was 138 kt on a missed shipment plus a planned smelter shutdown; recovery expected in Q2	Q2 FY27	Moderate
Leverage and capital intensity (risk)	"India side, this is a high capex year... I don't expect our net debt-to-EBITDA to materially change"	Net debt up ~₹24,000 cr in 9M FY26; consolidated capex staying near ₹30,000 cr a year	To FY28	Key constraint
Commodity and currency exposure	FY27 aluminium 29% hedged at \$3,013; currency 14% hedged at ₹90.13; Q1 cost inflation ~5% on war impact	Structural. Negative "other income" of ₹2,061 cr and ₹3,146 cr in two FY26 quarters shows how violently this can move reported profit	Always	Outside control

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25	Commission Lapanga 160 KTPA FRP, Silvassa extrusion, copper IGT and aluminium AC-fin lines	All commissioned across FY25–FY26 as described	Delivered
FY25	Downstream aluminium EBITDA to improve toward ~\$250/tonne and hold	\$300/tonne reached by Q1 FY27 — beaten	Delivered (over)
FY26 (Q3)	—	When net debt jumped ₹18,000 cr in a quarter, the CFO gave a full line-by-line bridge unprompted — Oswego, Bay Minette capex, material prices, copper working capital, and even the forex retranslation of opening balances	Candid
FY26	Captive coal from Bandha and Chakla	Slipped to FY28. Bandha's box cut was done but the strip ratio proved high, so first coal moved out — disclosed with the reason rather than left vague	Delayed (explained)
FY26	Aditya refinery and Phase 1 smelter	Commissioning Dec–Jan next fiscal, meaningful only FY29. Management volunteered the later date rather than letting analysts assume FY28	Deferred (explained)
Throughout	—	Hedge positions published every quarter with both percentage and price — 21% at \$2,925, then 29% at \$3,013, currency 14%	Exceptionally specific

		at ₹90.13. Cost inflation guided numerically (Q1 FY27 "~5% versus Q4")	
Q1 FY27	—	A ~\$70m item was not stripped out of Novelis adjusted EBITDA when it could have been; a related-party royalty was disclosed and capped at ₹225 cr; a copper volume shortfall was explained as a missed ship sale	Candid
Q1 FY27	Deleveraging	Management stated plainly that group net debt-to-EBITDA would not improve materially near term because India is in a high-capex year — declining to promise the obvious good news	Candid

Narrative drift: None in the strategy, and the disclosure standard is the highest in this coverage. The plan has been constant for years — grow downstream and speciality value-added products, secure captive coal to cut the biggest cost, build Novelis's recycling and automotive capacity, and stay disciplined on where the money goes. What distinguishes this management is how checkable they make themselves. Hedge books are published with both the percentage covered *and* the price. Cost inflation is guided as a number, not an adjective. When net debt rose ₹18,000 cr in one quarter, the CFO walked through the bridge component by component, including the unflattering parts. When an analyst suggested Novelis's EBITDA per tonne could be presented higher by excluding a ~\$70 million item, the CEO said it had deliberately not been excluded. A related-party royalty was disclosed with its cap. And rather than letting the market assume the Aditya smelter would help FY28, they said FY29. The genuine blemish is timing: captive coal, the single most valuable cost lever, has moved out to FY28, and the Aditya complex to FY29. Those are real slippages on a multi-year promise — but each was explained with a specific operational reason (Bandha's strip ratio) rather than quietly restated, and neither was ever oversold in the first place.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, sequenced set of drivers here, and the first of them has already fired. FY26 was a damaged year — profit fell about 16% to ₹13,391 cr because the Novelis Oswego fire cost roughly \$485 million and hedging losses pushed "other income" deeply negative in two quarters. Oswego has restarted, and Q1 FY27 immediately produced the largest quarter in the company's history: revenue ₹84,825 cr, a 16% operating margin that is the best in three years, and ₹7,013 cr of profit — more than half of the entire prior year in three months. Behind that recovery sit three dated levers: Novelis capital spending dropping sharply into maintenance mode once Bay Minette commissions, which turns the current cash drain into free cash flow from FY28; captive coal from Chakla arriving in FY28 to attack the largest input cost; and the Aditya refinery and Phase 1 smelter contributing meaningfully from FY29. Downstream aluminium is already earning \$300 a tonne against a \$250 target. The counterweight is real and management states it themselves: consolidated capital spending stays near ₹30,000 cr a year, net debt rose ₹24,000 cr in nine months of FY26, group leverage will not improve materially in the near term, and underneath everything sits an aluminium price that no one controls — only 29% of FY27 is hedged. The trigger is genuine; it is also capital-hungry and back-ended.

Management consistent? → YES

Across eight calls this management has said the same things and then either done them or explained precisely why not. The capacity commissioned in FY25–FY26 — Lapanga, Silvassa, copper IGT, AC fin — arrived as described. The downstream margin target of about \$250 a tonne has been beaten at \$300. What earns the clear Yes, though, is the disclosure standard, which is the strongest encountered in this coverage. Hedge positions are published every quarter with both the percentage and the strike price. Cost inflation is guided numerically. When net debt jumped

₹18,000 cr in a single quarter, the chief financial officer volunteered a full component-by-component bridge including the awkward items. When an analyst offered Novelis's chief executive an easy way to report a higher adjusted EBITDA by excluding a ~\$70 million charge, he said it had deliberately been left in. A related-party royalty was disclosed with an explicit ₹225 cr cap. And rather than allow the market to assume the Aditya complex would lift FY28, management said FY29 unprompted, just as it said group leverage would *not* improve near term. The one real criticism is timing slippage: captive coal has moved to FY28 and the Aditya smelter to FY29, both later than earlier expectations implied. But each slip came with an operational reason given openly at the time, and neither had been oversold. Delivering what you can, and being precise about what you cannot, is what consistency looks like.

Prepared from eight Hindalco Industries Ltd earnings-call transcripts, Q3 FY25 (Feb 2025) through Q1 FY27 (07 Aug 2026), sourced from Screener.in; all figures are **consolidated**, from Screener.in consolidated statements and management disclosures on the calls. FY25 and FY26 net profit figures are the sum of the four reported quarters. Screener lists 98 investor-communication entries with transcripts for 30; the missing ones are almost entirely pre-2024 and outside the window graded here. **This is not investment advice. Do your own due diligence.**